

26CV05577 The Armand Hammer Foundation, Inc. v. Art Ambassadors, LLC, et al.

County: santa-barbara

Division: Civil Law & Motion

Department: 3 SB-Anacapa

Hearing date: 2026-09-23

Motion: Petition for Release Order of Mechanics Lien

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Civil Law & Motion

Hearing Date / Time

Wed, 09/23/2026 - 10:00

Nature of Proceedings

Petition for Release Order of Mechanics Lien

Tentative Ruling

For Petitioner The Armand Hammer Foundation, Inc.: Meghan K. Woodsome, Hillary A. Leffue, Reicker, Pfau, Pyle & McRoy, LLP

For Respondents Art Ambassadors, LLC, and David Smith: No appearance

RULING

For the reasons set forth herein, the petition of The Armand Hammer Foundation, Inc., for release order of mechanics lien is denied without prejudice.

Background

On August 28, 2026, Petitioner The Armand Hammer Foundation, Inc., (Petitioner) filed a verified petition (the petition) against Art Ambassadors, LLC, (Art Ambassadors) and David Smith (Smith) (collectively, Respondents) for an order releasing a mechanics lien. As alleged in the petition:

Petitioner owns real property located at 3501 Via Real in Carpinteria, California (the Property). (Petition, ¶ 1.) Smith is a former employee of Petitioner whose employment was terminated in November 2025. (Petition, ¶ 4.) On or about January 7, 2026, Smith, as the authorized agent of Art Ambassadors, executed a mechanics lien (the Lien) in the sum of \$4,500,000. (Petition, ¶ 5.) On March 2, 2026, Smith caused the Lien to be recorded against the Property in the official records of the County of Santa Barbara. (Petition, ¶ 6 & exhibit B.)

Smith failed to serve the preliminary notice required by Civil Code section 8200 et seq., and failed to record the Lien within the time prescribed in Civil Code section 8412. (Petition, ¶ 7.) Respondents failed to initiate legal action to foreclose the Lien within ninety days of its recordation. (Petition, ¶ 9.) The Lien also includes multiple false and materially misleading representations on its face. (Petition, ¶ 8(a)-(h).)

Petitioner sent a letter to Smith by certified mail on August 10, 2026, (the Demand Letter) demanding that the Lien be released. (Petition, ¶ 10 & exhibit C.) Smith did not respond to that letter, and failed to execute a release of the Lien. (Petition, ¶ 11.)

On September 1, the Clerk of the Court filed in this case, a notice that a hearing on the petition has been set for September 30, 2026.

On September 9, Petitioner filed an ex parte application (the ex parte application) for an order shortening time to hear the petition. The ex parte application was calendared for September 10. In support, Petitioner's counsel, Hillary A. Leffue (attorney Leffue), asserted that they provided notice of the ex parte application to Smith by phone and email, that Smith stated they would not be in attendance, and that Smith did not indicate whether Smith would oppose the ex parte application. (Sept. 9, 2026, Leffue Decl.) On the date the application was filed, there was no proof of service of the petition or the ex parte application appearing in the Court's docket for this case.

On September 10, after a hearing, the Court signed and entered an order noting Smith's nonappearance at that hearing and the absence of a proof of service in the Court's file, and continuing the hearing to the next day, September 11.

Later on September 10, Petitioner separately filed two proofs of service.

On September 11, after a hearing at which Respondents did not appear, the Court entered an order (the Order) granting Petitioner's request that the petition be heard on shortened notice; setting the hearing on the petition for September 23; ordering Respondents to file a response by 12:00 p.m. on September 17; and ordering any reply to be filed by 12:00 p.m. on September 21.

Respondents have not filed any response to the petition.

On September 21, Petitioner filed a reply in support of the petition.

Analysis

"The California Constitution recognizes the right of laborers and material suppliers to have a lien for the value of labor done and materials furnished against the property upon which they have bestowed labor or furnished materials. [Citations.] The California Legislature enacted a mechanic's lien statute to protect laborers, material suppliers, and contractors. [Citations.] Effective July 1, 2012, California's mechanic's lien statute is found in [Civil Code] sections 8000 through 9566." (Picerne Construction Corp. v. Castellino Villas (2016) 244 Cal.App.4th 1201, 1209, original italics.)

Relevant here, Civil Code section 8004 defines the term "Claimant" as "a person that has a right under [Civil Code section 8000 et seq.] to record a claim of lien" The Lien attached to the petition lists Respondents as the "Claimant". (Petition, exhibit B at pdf p. 12, ¶ 1.) The Lien and the petition also describe the work or materials furnished by Respondents as "16 years to oversea [sic] the [sic] complete renovation and rebuild of [the Property]." (Petition, ¶ 5 & exhibit B at pdf p. 12, ¶¶ 3-4; see also Civ. Code, § 8050 [defining a "work of improvement"].)

For the reasons discussed above, the available information shows or suggests that the purported work of improvement described in the Lien was not "contracted for by a public entity." (Civ. Code, § 9000.) Therefore, the present record suggests that Civil Code section 8160 et seq. applies to these proceedings.

"The claimant shall commence an action to enforce a lien within 90 days after recordation of the claim of lien. If the claimant does not commence an action to enforce the lien within that time, the claim of lien expires and is unenforceable." (Civ. Code, § 8460, subd. (a).) The Lien attached to the petition shows on its face that it was recorded on March 2, 2026. The petition also alleges that "[n]o extension of credit has been granted under Civ. Code § 8460 by or to any party in this action." (Petition, ¶ 12; see Civ. Code, § 8460, subd. (b) [describing circumstances where subdivision (a) of section 8460 does not apply].) For these reasons, the available information indicates or suggests that Respondents did not commence an action to enforce the Lien within the time prescribed in subdivision (a) of Civil Code section 8460. (See also Petition, ¶ 9.)

"[T]he claimant's failure to enforce a mechanic's lien by timely prosecution permits the owner of the affected property to petition the Court for a decree releasing the property from the lien." (Federal Deposit Ins. Corp. v. Charlton (1993) 17 Cal.App.4th 1066, 1070.) Civil Code section 8480 provides: "The owner of property or the owner of any interest in property subject to a claim of lien may petition the Court for an order to release the property from the claim of lien if the claimant has not commenced an action to enforce the lien within the time provided in [Civil Code] [s]ection 8460." (Civ. Code, § 8480, subd. (a).)

The information contained in the petition and the Lien shows, expressly and by inference, that Petitioner is an owner of the Property. (Petition, ¶ 1 & exhibit B, ¶ 4.) For these and all further reasons discussed above, the petition shows or suggests that Petitioner has standing to petition the Court under Civil Code section 8480, for an order to release the Property from the Lien.

"An owner of property may not petition the Court for a release order under [Civil Code section 8480 et seq.] unless at least 10 days before filing the petition the owner gives the claimant notice demanding that the claimant execute and record a release of the claim of lien. The notice shall comply with the requirements of Chapter 2 (commencing with [Civil Code] [s]ection 8100) of Title 1, and shall state the grounds for the demand." (Civ. Code, § 8482.)

Based on the allegations of the petition and for the reasons discussed above, the 10 days' notice required under section 8482 must be given at the "[Respondents'] address shown on the ... claim of lien" (Civ. Code, § 8108, subd. (e).) Further, Civil Code section 8118 provides: "Proof that notice was given to a person in the manner required by this part shall be made by a proof of notice declaration" stating all of the matters set forth in subdivisions (1) through (3) of that section. (Civ. Code, § 8118, subd. (a).)

The petition shows that the Demand Letter was given to Respondents by "Certified Mail". (Petition, ¶ 10.) "If the notice is given by mail, the declaration shall be accompanied by one of the following:

“(1) Documentation provided by the United States Postal Service showing that payment was made to mail the notice using registered or certified mail, or express mail.

“(2) Documentation provided by an express service carrier showing that payment was made to send the notice using an overnight delivery service.

“(3) A return receipt, delivery confirmation, signature confirmation, tracking record, or other proof of delivery or attempted delivery provided by the United States Postal Service, or a photocopy of the record of delivery and receipt maintained by the United States Postal Service, showing the date of delivery and to whom delivered, or in the event of nondelivery, by the returned envelope itself.

“(4) A tracking record or other documentation provided by an express service carrier showing delivery or attempted delivery of the notice.” (Civ. Code, § 8118, subd. (b)(1)-(4).)

The Demand Letter attached to the petition is addressed to Respondents at 5151 Neptune Square, Suite E, Oxnard, CA 93035, which is the address shown on the Lien. (Petition, exhibit B, ¶ 1 & exhibit C at p. 1.) Attached to the petition is documentation ostensibly showing that payment was made to mail the Demand Letter by certified mail. (Petition, exhibit C at pdf p. 34.) That documentation lists a different address which is not the same address listed in the Demand Letter, and is not the same address listed in the Lien as the address of Respondents. The name of the individual who signed that documentation on August 12 is also unclear. (Ibid.) For these reasons, the present record is insufficient to show why the Demand Letter required under Civil Code section 8482, was given to Respondents in compliance with the requirements of Civil Code section 8108 as further discussed above.

In addition, “strict compliance with a statute is warranted when our Legislature evinces its intent that the statute’s requirements are to be followed precisely. We may infer such an intent when (1) ‘the Legislature has provided a detailed and specific mandate’ [citations], or (2) ‘the intent of [the] statute can only be served by demanding strict compliance with its terms’ [citation].” (Prang v. Los Angeles County Assessment Appeals Bd. No. 2 (2020) 54 Cal.App.5th 1, 19.) As Civil Code section 8484 lists the specific and detailed information that “shall” be included in a verified petition for an order releasing a mechanics lien, strict compliance with that statute is warranted.

For the same reasons discussed above, the petition fails to allege the matters described in subdivision (f) of Civil Code section 8484. In addition, though the petition asserts that Respondents have not filed for relief in bankruptcy, the petition fails to allege whether Petitioner, who is the alleged owner of the Property, “has filed for relief in bankruptcy” (Civ. Code, § 8484, subd. (h); see also Pioneer Construction, Inc. v. Global Investment Corp. (2011) 202 Cal.App.4th 161, 167-168 [90 day period to file an action to foreclose a mechanics lien tolled during pendency of property owner’s bankruptcy].) For these reasons, the petition fails to strictly comply with Civil Code section 8484.

Subdivision (b) Civil Code section 8486 also requires the Petitioner to “serve a copy of the petition and a notice of hearing on the claimant at least 15 days before the hearing. Service shall be made in the same manner as service of summons, or by certified or registered mail, postage prepaid, return receipt requested, addressed to the claimant as provided in Section 8108.” Noted above, Civil Code section 8108 that notice be given to Respondents at “the address shown on the [Lien].” (Civ. Code, § 8108, subd. (e).)

One of the proofs of service filed by Petitioner on September 10 states that Petitioner served Respondents with, among other documents, the petition and the notice of hearing described above on September 1, 2026. (Sept. 10 Proof of Service at p. 2, ll. 4-7.) The address where the petition was served and notice of the hearing was given is listed in that proof of service as 1072 Casitas Pass Road #153 in Carpinteria, California. (Sept. 10 Proof of Service at p. 2, ll. 12-13.)

The same reasoning and analysis apply. Even if the Court were to assume without deciding that service of the petition and notice of hearing described above was made and given in compliance with subdivision (b) of Civil Code section 8108, the Lien attached to the petition shows a different address from that listed in the proof of service filed on September 10. As the

address listed in the proof of service of the petition and notice of hearing is not the same address shown on the Lien, the present record fails to show why service of the petition or notice of hearing complies with Civil Code section 8486.

The second proof of service filed by Petitioner states that on September 9, 2026, Petitioner served Respondents with the petition and notice of hearing by electronic mail.

Electronic service is generally authorized under Code of Civil Procedure section 1010.6, subdivision (a). The Order reflects that, in the opposition to the ex parte application submitted by Smith, Smith asserted that Petitioner did not provide Respondents with adequate notice of these proceedings and requested additional time to consult legal counsel. (Order at p. 6.) To the extent Smith is unrepresented, Smith must expressly consent to receive electronic service, which may be given by either “[s]erving a notice on all parties and filing the notice with the Court...” or “[m]anifesting affirmative consent through electronic means with the Court or the Court’s electronic filing service provider, and concurrently providing the party’s electronic address with that consent for the purpose of receiving electronic service. The act of electronic filing shall not be construed as express consent.” (Code Civ. Proc., § 1010.6, subd. (c)(1)-(3).)

The Court has no record showing that Respondents served or filed in this case any notice consenting to receiving documents by electronic service, or any documents identifying an electronic address for receiving electronic service including those addresses listed in the proof of service filed by Petitioner and discussed above. Instead, the points raised in the opposition of Smith and described above suggest that Smith did not consent to electronic service in this case.

Moreover, though the Court granted Petitioner permission to give notice of the entry of the Order by electronic means, “trial judges have no authority to issue Courtroom local rules which conflict with any statute” or which are “inconsistent” with applicable law. (Kalivas v. Barry Controls Corp. (1996) 49 Cal.App.4th 1152, 1160.)

The Order also reflects that the opposition of Smith to the ex parte application asserted that, as a result of the purportedly inadequate notice of these proceedings; Smith had insufficient time to properly review the issues, to gather necessary information and documents, or to meaningfully prepare; and that Smith requested additional time to prepare for and participate in this matter. (Order at p. 6.) For these reasons, the present record is sufficient to show that Smith has not “waived any alleged defective service or inadequate notice.” (Carlton v. Quint (2000) 77 Cal.App.4th 690, 696–698 & fn. 5.)

Apart from effectively conceding that Smith is not represented by counsel, the reply of Petitioner does not address the service or notice issues raised in Smith’s opposition or described above. In addition, though the reply asserts that Smith had an opportunity to but failed to appear and to respond to the petition, Petitioner does not address whether, under the circumstances present here as further discussed above, the Court has jurisdiction over Smith or to give the relief sought by the petition. (See County of San Diego v. Gorham (2010) 186 Cal.App.4th 1215, 1225–1227 [general discussion].)

“At the hearing both (1) the petition and (2) the issue of compliance with the service and date for hearing requirements of this article are deemed controverted by the claimant. The Petitioner has the initial burden of producing evidence on those matters. The Petitioner has the burden of proof as to the issue of compliance with the service and date for hearing requirements of this article. The claimant has the burden of proof as to the validity of the lien.” (Civ. Code, § 8488, subd. (a).) The petition must plead each fact essential to the relief sought by Petitioner under Civil Code section 8480 et seq., including as to the matters set forth above which are deemed controverted by Respondents. (Green v. Grimes-Stassforth Stationery Co. (1940) 39 Cal.App.2d 52, 56.)

The examples provided above are intended to be illustrative but not exhaustive. Even if the petition could present information or evidence sufficient to show that Respondents did not commence an action to enforce the Lien within the time prescribed in Civil Code section 8460 (and, absent allegations sufficient to show that the foreclosure period was not tolled by any bankruptcy filing, the Court presently makes no findings in this regard), the petition is deficient for the reasons discussed above. For these reasons, Petitioner has failed to meet its initial burden to present evidence on these matters including in regard to whether service or notice of the Demand Letter or petition complies with all statutory requirements. These deficiencies also raise concerns about “fundamental principles of due process” (Jones v. Otero (1984) 156 Cal.App.3d 754, 757; California Advocates for Nursing Home Reform v. Smith (2019) 38 Cal.App.5th 838, 870 [discussing due process

requirements].)

Considering the deficiencies in the Demand Letter described above, it does not appear that the petition can be amended to comply with Civil Code section 8484. (See *Cooper v. Leslie Salt Co.* (1969) 70 Cal.2d 627, 636; *Goodman v. Kennedy* (1976) 18 Cal.3d 335, 349.) The record also shows that, as of the date of entry of the Order, Petitioner was on notice of the claimed deficiencies in regard to the service and notice of the petition raised in Smith's opposition and did not correct those deficiencies notwithstanding the Court continuing the hearing. For these and all further reasons discussed herein, the Court will, at this stage of the proceedings, deny the petition. The Court's ruling herein is without prejudice to Petitioner filing and serving an appropriate petition for an order to release the Property from the Lien in the future.

Judges

Judge Thomas Anderle

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